

Event	Reaction Dates	DJIA Loss	DJIA Percentage Gain		
		Gain/Loss (%)	Days after Reaction Dates		
			22	63	126
Fall of France	05/09/1940–06/22/1940	–17.1	–0.5	8.4	7.0
Korean War	06/23/1950–07/13/1950	–12.0	9.1	15.3	19.2
U.S. bombs Cambodia	04/29/1970–05/26/1970	–14.4	9.9	20.3	20.7
Arab oil embargo	10/18/1973–12/05/1973	–17.9	9.3	10.2	7.2
Nixon resigns	08/09/1974–08/29/1974	–15.5	–7.9	–5.7	12.5
Hunt silver crisis	02/13/1980–03/27/1980	–15.9	6.7	16.2	25.8
Financial panic 1987	10/02/1987–10/19/1987	–34.2	11.5	11.4	15.0
Asian stock market crisis	10/07/1997–10/27/1997	–12.4	8.8	10.5	25.0
Russian LTCM crisis	08/18/1998–10/08/1998	–11.3	15.1	24.7	33.7
Mean		–16.7	6.9	12.4	18.5
Median		–15.5	9.1	11.4	19.2

Similarly, if you invest in any under- or overpriced business, it will eventually trade around its intrinsic value—leading to an appropriate profit or loss. We can pretty much treat this as a law of investing and hang our hat on it. Thus, if we can determine the intrinsic value of a given business two to three years out and can acquire a stake in that business at a deep discount to its value, profits are all but assured. In determining the amount to bet, the Kelly Formula is a useful guide.

THE AMERICAN EXPRESS SALAD OIL CRISIS

Betting heavily when the odds are overwhelmingly in your favor is something to which Warren Buffett and Charlie Munger have always subscribed. In November 1963, Mr. Buffett invested 40 percent of the Buffett Partnerships' assets into a single business, American Express (AmEx), where he had no control or say. Because virtually his entire liquid net worth was in the Buffett Partnership, he had effectively put 40 percent of his personal liquid net worth into AmEx. At the time, the Buffett Partnership had about \$17.5 million under management.⁸ Thus about \$7 million was invested in buying the stock of American Express—which had seen its stock price cut in half just before Buffett's large purchase.

American Express had been hit hard by the salad oil crisis.⁹ The company had lent \$60 million against collateral that consisted of a